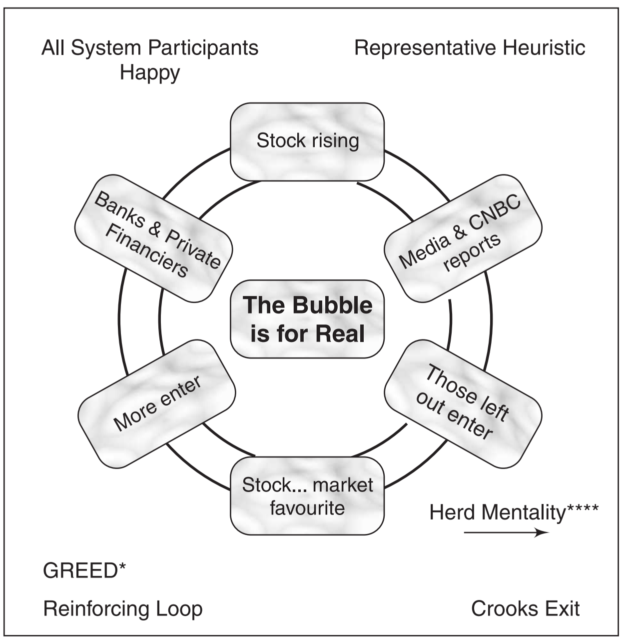
The initial operator and his band of brokers at this stage do not do much except plant stories in the media, generate excitement about the stock by way of research reports, and convince other intermediaries who in turn recommend the stock to their clients. Essentially, their job is done. The stock is on autopilot. The bubble starts ballooning. At this stage the manipulators are able to exit.

Step 3: The net is spread. More stock market participants enter the fray. Banks and private financiers look for lending opportunities. The stock enters the list of stocks against which banks will give an overdraft facility. This further enhances the credibility of the stock. The stock builds huge volumes as genuine buying and selling takes place. Enter the media. Stock price movements are flashed on TV screens and analysts recommend it at investment debates. The stocks soar further on reflexivity as

FIGURE 10.3



The Bubble at its Peak